

Like any industry, when there's least human intervention, the probabilities for mistakes are minimized.

The biggest advantage of index mutual funds is that they are independent of *who* manages them, or *which* asset management company (eg. Kotak, Reliance etc.) provides them. The returns from such funds will always be close to that of the underlying index (bunch of companies' performance) except for a small expense fee deducted by the AMC. The big question is: which index to follow and what are its expenses?

Choosing the fund

Before we choose the fund, some background information on market capitalization (cap) is necessary to dig deeper. If a company has 1 Lakh shares available for trading and each share is currently priced at ₹ 100, the market cap of the company is $1 \text{ Lakh} \times 100 = ₹ 1 \text{ Crore}$.

Companies with *large* market cap are established players that have been in existence for many years; eg, Reliance Industries, Infosys, Apollo Tyres, etc. Any company with a market cap greater than 20-25 thousand crores can be considered a large cap stock. The returns from them may not be spectacular, but they are solid.

Stocks with lower market cap are those from newer companies. Some of them can be expected to grow at a larger pace than large cap stocks. However, the returns from these can fluctuate wildly.

Just as our total portfolio combines the stability of fixed income and the growth potential of equity, the equity part of the portfolio should combine the stability of large caps and the growth potential of small cap stocks.

Keeping the above axiom in mind, one of the wisest choice is an index of the Nifty Next 50 - a passive mutual fund, that consists of 50 stocks – from the 51st highest market cap stock to the 100th highest market cap stock. Or in other words, the top 100 stocks with highest market cap are filtered and the bottom 50 is made up of the Nifty Next 50 (the top 50 makes the Nifty 50 index).

The Nifty Next 50 is likely to be more volatile (more ups and downs) than the Nifty 50 as the closing price chart reveals. However, the bottom 50